

Kenneth Cao

Professor Coppock

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The Impact and Rise of Political Prediction Markets After the CFTC Ruling

Introduction

Prediction markets are financial platforms where participants trade contracts whose payoffs depend on the outcome of future events. Contracts are traded as yes/no events, and the payoff for being correct is exactly one dollar; therefore, the implied probability of the event happening is the cost of buying a ‘yes’ contract. These markets harness the power of *wisdom of crowds* where aggregating dispersed information through price signals can often produce more accurate forecasts than traditional surveys or expert opinion. The intuition is that people put money where their beliefs are, and prices reflect the collective estimate about an uncertain outcome.

In 2020, Kalshi became the “first fully regulated financial exchange in the U.S. specifically for event contracts . . . by the Commodity Futures Trading Commission (CFTC)” (<https://kalshi.com/about>). It originally launched as a platform for trading contracts on economic and financial outcomes, such as the direction of the S&P 500, as another vehicle for investors to hedge against risk. However, this all changed on October 2, 2024 when a U.S. federal court upheld Kalshi’s right to list election betting contracts (<https://www.reuters.com/legal/us-federal-court-upholds-ruling-letting-kalshiex-list-election-betting-contracts-2024-10-02/>), largely coinciding with the 2024 presidential election.

Following this regulatory change, activity on the Kalshi platform increased dramatically. The platform expanded its offering of contracts to election outcomes, margin-of-victory contracts, and even what certain politicians will mention in a speech. In turn, trading activity surged as participants began speculating on the outcomes of high-profile political developments. This project analyzes the growth of political prediction markets following the CFTC ruling using historical trading data from Kalshi.

Data and Methodology

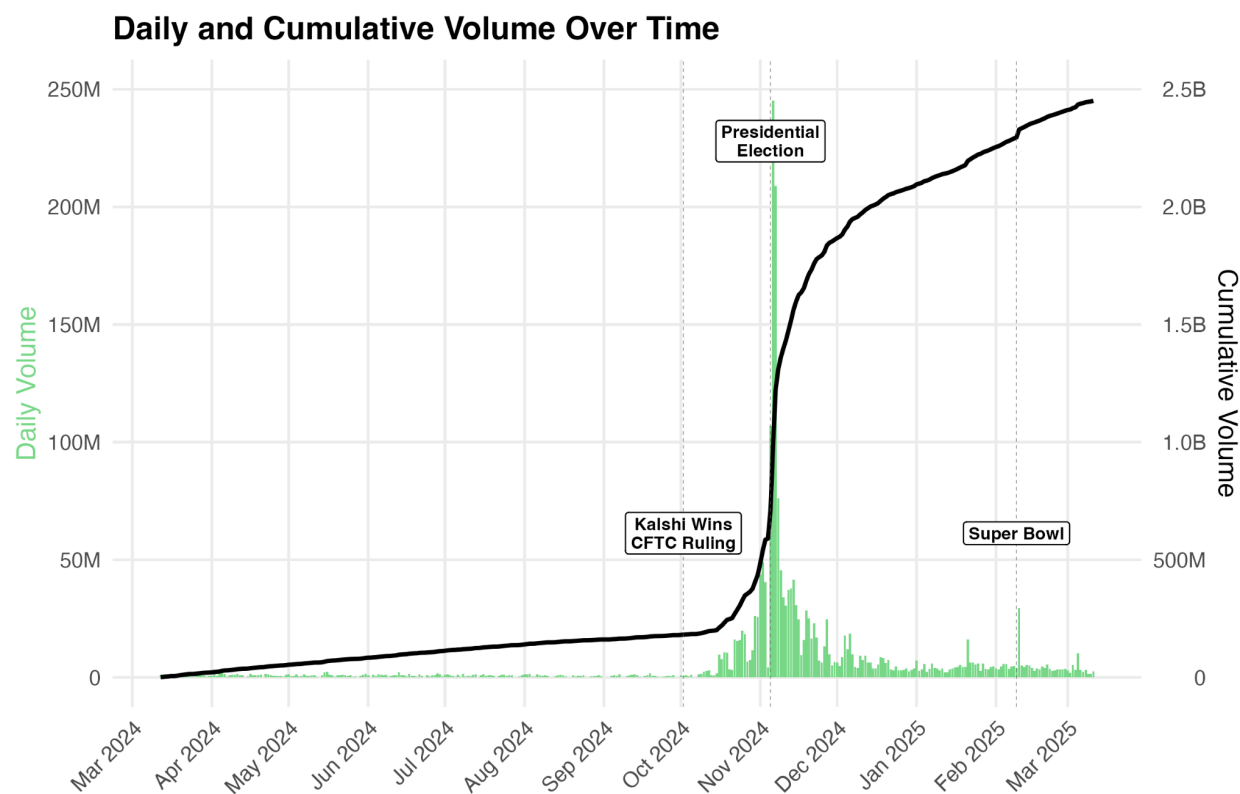
The data used in this analysis was all collected through the Kalshi API (<https://docs.kalshi.com/api-reference/historical/get-historical-cutoff-timestamps>). I focused my analysis on what are considered “historical markets” which are markets that were closed one year from the current day. I pulled the data on March 12, 2026, which provided every market listed on the platform until March 12, 2025. I decided to limit my analysis to a one-year period between **March 12, 2024 and March 12, 2025** as it captures the CFTC ruling on October 2, 2024 relatively close to the middle. A GitHub repository of my data collection can be accessed here: https://github.com/cao-kenneth/kalshi_historical_market_scraper.

Kalshi has a hierarchical listing structure that has series → events → markets. The general idea is that series are repeating events (Ohio Senate elections), events are events at a certain time (2024 Ohio Senate elections), and markets are the contracts that an individual can trade (who will win the 2024 Ohio Senate election, margin of victory of the win, etc). After pulling the raw data, I filtered to the March 12, 2024 - March 12, 2025 timeframe which provided a total of 1184 series, 21604 events, and 906895 markets. 746561 markets had no total trading volume so I removed those markets that were attached to them. After cleaning and removing rows with unnecessary information, I was left with 160334 markets (with title, event

ticker, total volume, rules primary, and closing date), 10782 events, and 838 series. This sufficed for most of the data analysis that was done, but I wanted to also do analysis for daily volume. This required pulling the candlestick data for each day for every market. To keep within API rate limits and to reduce the time it took to pull all of the data, I limited the daily volume data to only markets above \$10,000 total volume, as the vast majority of trading volume is due to the top percentile markets. Additional information about the data will be provided for each graph.

Trading Volume Over Time

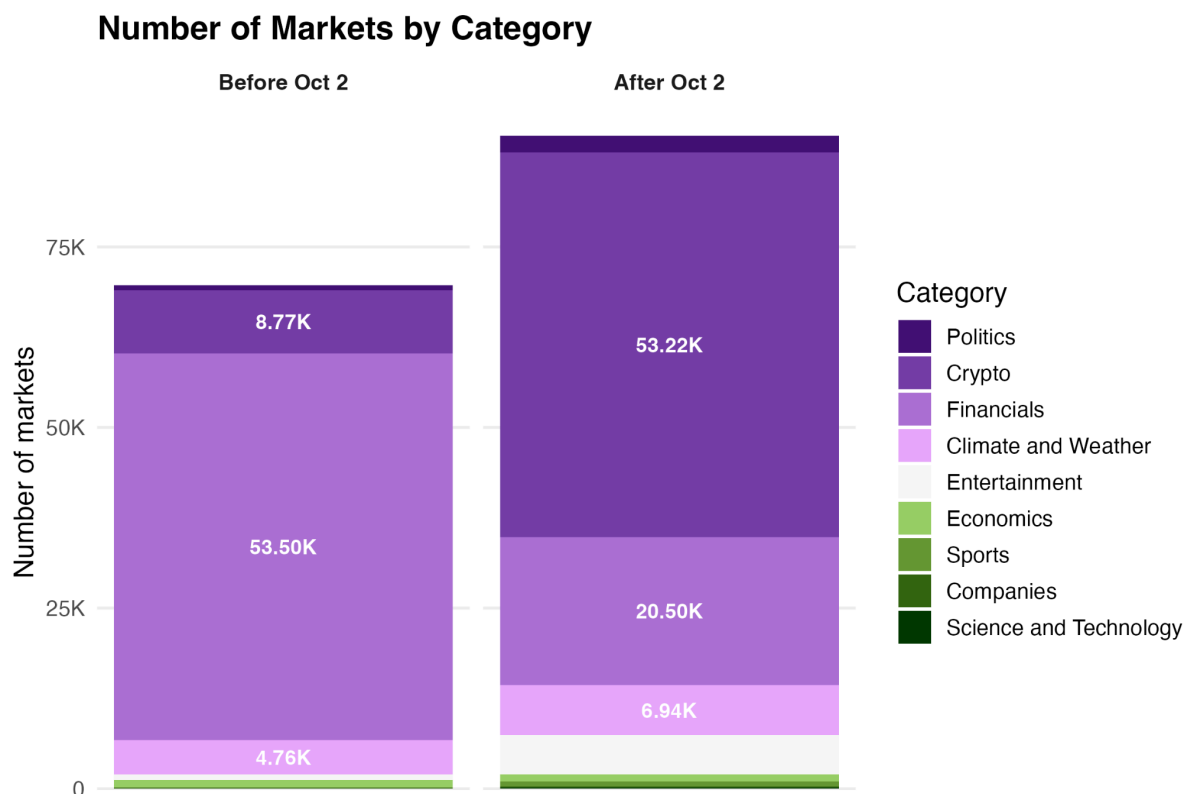
The CFTC ruling triggered a dramatic increase in overall trading volume across the platform. Prior to the decision, trading activity remained relatively modest, with daily volumes staying low throughout the spring and summer of 2024. Once election-related contracts were permitted, participation on the platform began to accelerate rapidly.



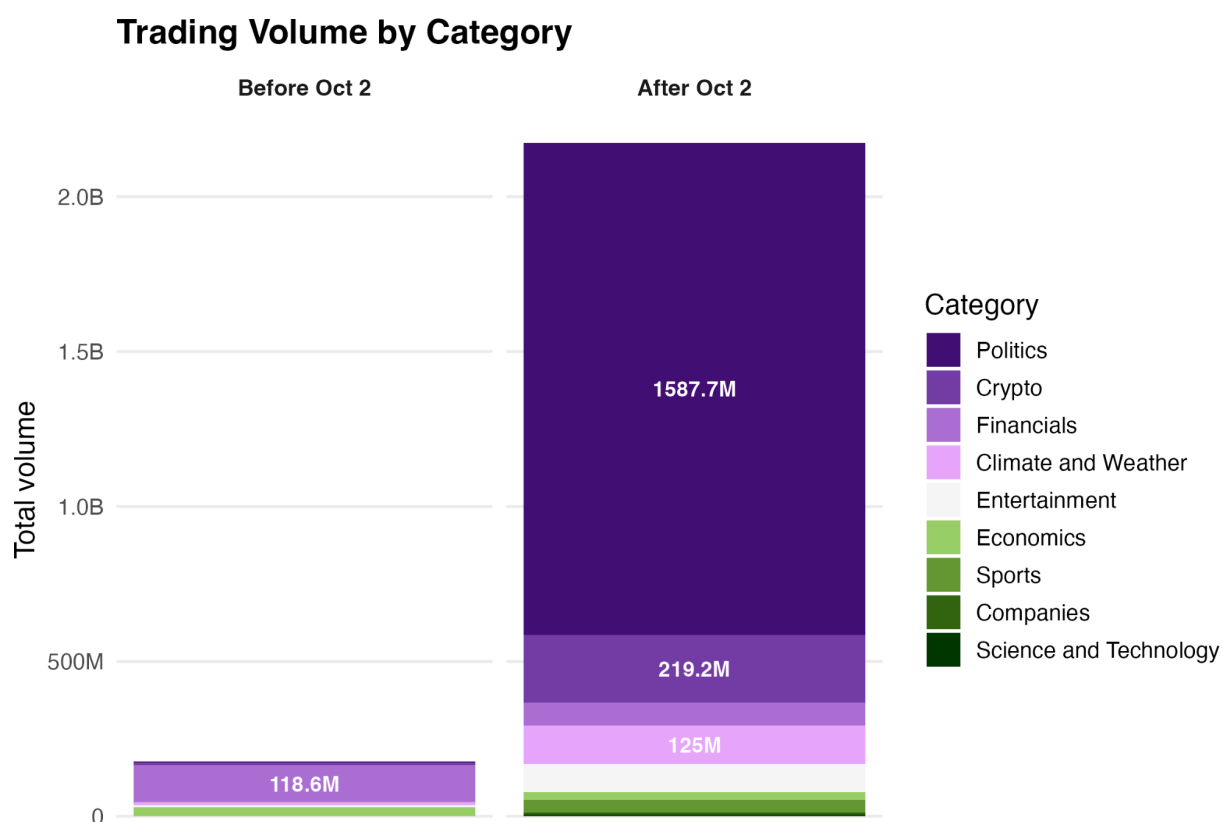
As the 2024 presidential election approached, traders increasingly entered markets tied to election outcomes, causing daily trading volume to surge in the weeks leading up to November. This pattern reflects the event-driven nature of prediction markets: participation tends to increase sharply due to more uncertainty and as the resolution of major political events approaches. The result is liquidity concentrated around a number of high-profile events, rather than steady trading activity throughout the year.

Categories in Kalshi

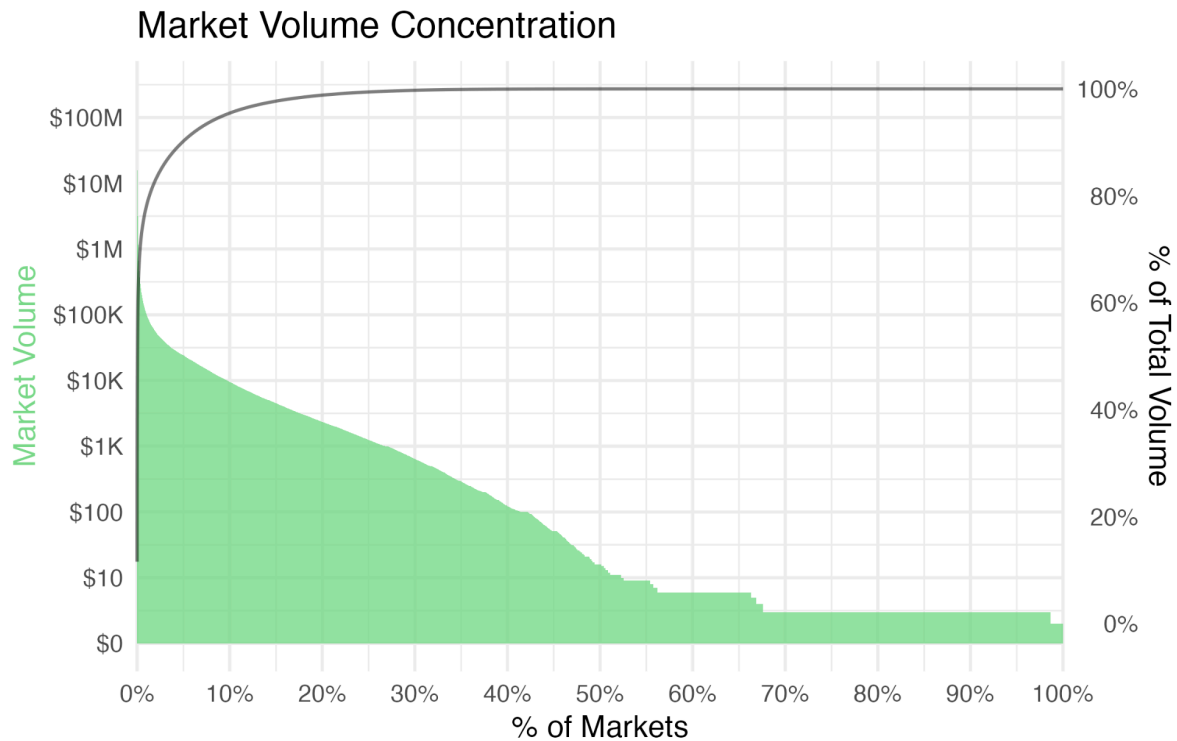
As mentioned before, Kalshi originally started as a way to trade contracts related to economics and finance. In each series there is a “category” label: Climate and Weather, Companies, Crypto, Economics, Education, Elections, Entertainment, Exotics, Financials, Health Mentions, Politics, Science and Technology, Social, Sports, Transportation, and World.



To show the impact of the CFTC ruling, I created two before-and-after charts to depict the change in the number of markets and total trading volume by category. Although there are 17 total categories, after removing markets with zero volume, I was left with 14. The 5 lowest categories were removed for readability as they were not visible on the bar chart. The “Number of Markets by Category” chart shows that early activity on the platform was dominated by financial markets. After the CFTC ruling, however, the composition of markets shifted noticeably. Political and entertainment markets increased, and there was also a substantial expansion in crypto-related contracts. The change is even more pronounced when examining trading volume. While financial markets initially accounted for most activity on the platform, political markets rapidly became the dominant source of traded volume.



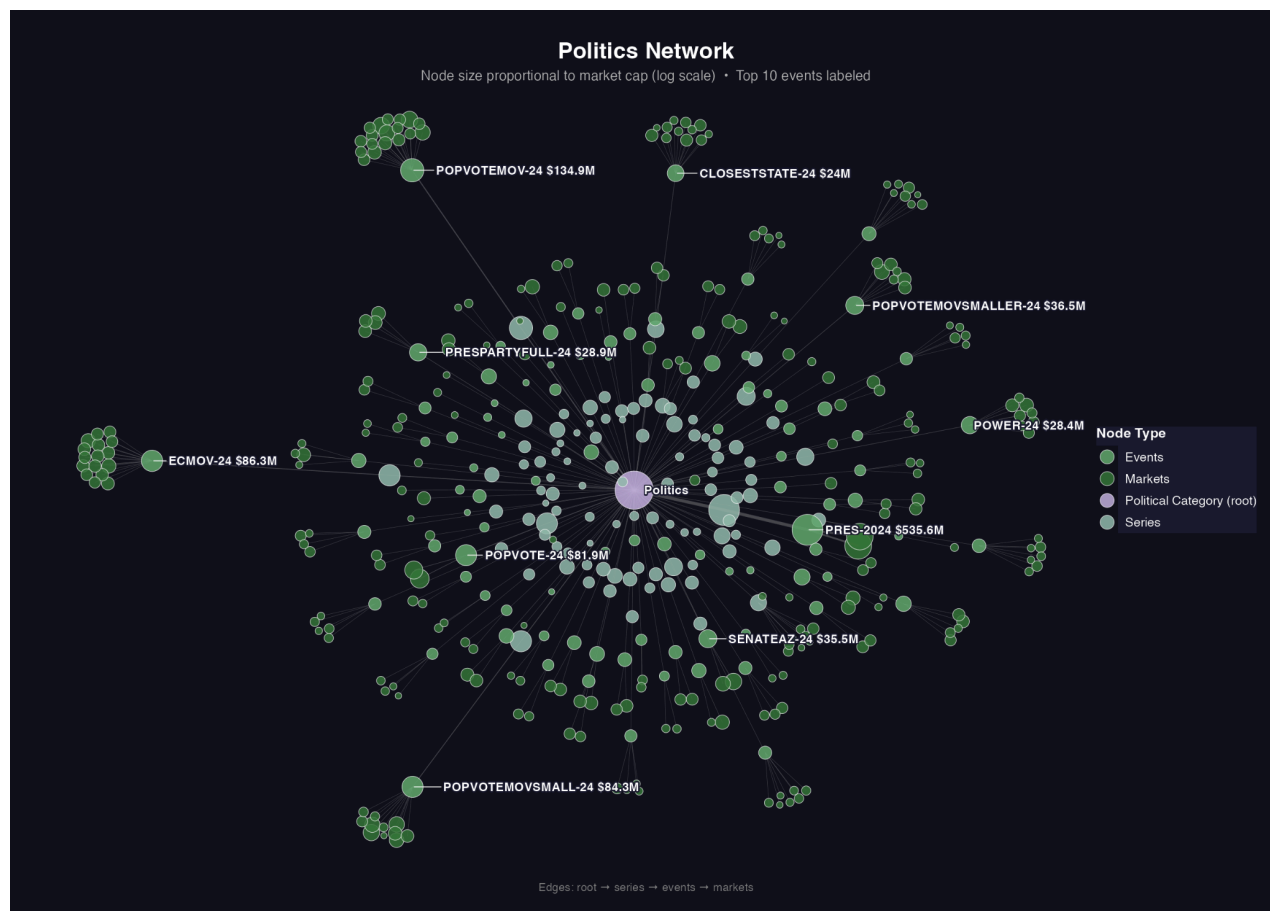
As politics represents such a disproportionately large share of total trading volume relative to their total number of markets, I constructed a volume concentration graph to see if trading activity on Kalshi follows the 80/20 rule. Markets are sorted from highest to lowest total volume, and a log-scale is chosen for that axis as otherwise most markets would be invisible.



We see that even after filtering for markets with greater-than-zero volume, the majority of markets are still under \$100 in total trading volume. The concentration of volume across markets follows a power-law distribution. The volume concentration chart makes this explicit: the top 5% of markets account for around 90% of all trading volume. This pattern is not unique to prediction markets, but it has specific implications for what prediction markets actually measure. The *wisdom of crowds* effect is most meaningful in the top markets where there are higher stakes and incentives to be accurate. For the right tail of markets with negligible volume, prices may be poorly calibrated, and trading those contracts may be considered speculative.

Dive into Political Markets

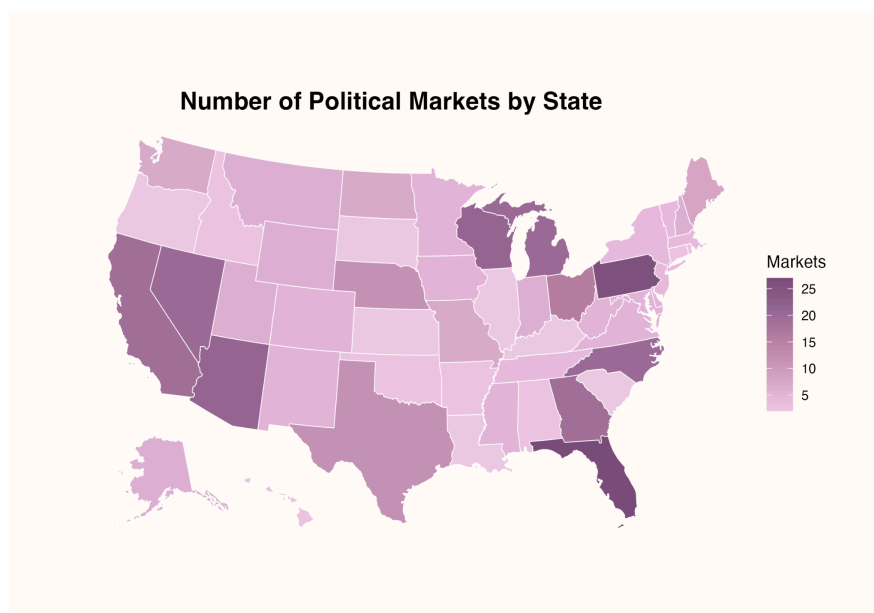
Since such a large portion of trading volume is associated with politics and elections, the remainder of the analysis focuses specifically on political markets. I generated a network graph to show the hierarchical structure of Kalshi markets by linking markets → events → series and only including series with the “politics” category.

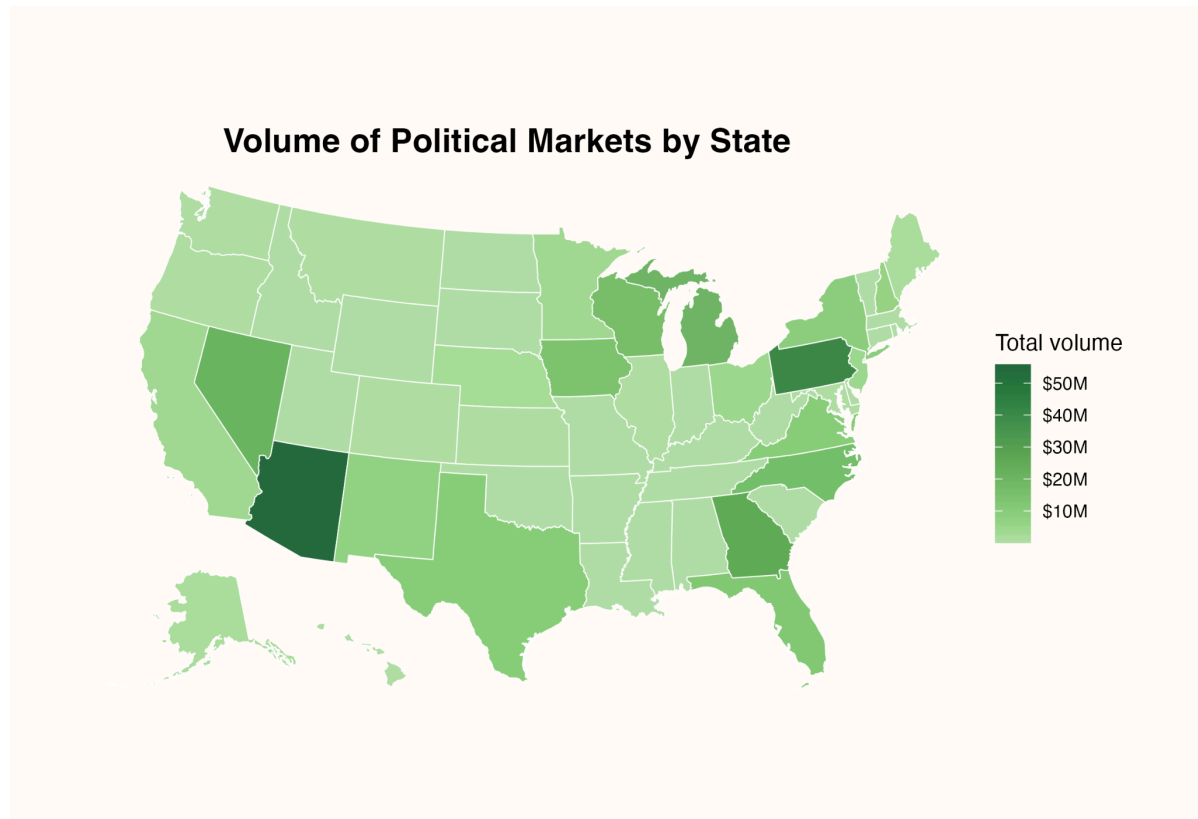


The nodes are log-scaled by trading volume and event labels are applied to the top 10 events by trading volume. The top node, POPVOTEMOV-24, representing the 2024 presidential popular vote margin, alone attracted over \$134.9 million in trading volume. Other series like ECMOV-24 which tracked the electoral college margin had \$86.3 million, and, somewhat surprisingly, the Arizona Senate race was able to attract \$35.5 million.

An interesting geographic dimension emerges when examining which states attract the most political market activity. Professor Coppock originally mentioned that money in markets tends to travel toward the largest and richest states which would make geographic analysis uninteresting. If market activity simply followed population or economic size, we would expect states such as California, Texas, and New York to dominate trading activity. To explore whether this pattern holds in prediction markets, I constructed maps showing both the number of political markets and the total trading volume associated with each U.S. state.

Geographic boundaries were obtained as a TopoJSON dataset from: <https://github.com/topojson/us-atlas/tree/master?tab=readme-ov-file>, which conveniently includes Alaska and Hawaii within the same frame. The files were then converted into a shapefile using <https://mygeodata.cloud/>. Because individual markets do not contain a dedicated “state” field in the JSON data, I used a string search to identify state names within market titles. Since the titles were generally clean and consistently formatted, this method proved sufficient for associating markets with geographic locations. A new dataset containing state names, total trading volume, and the number of markets was constructed and merged with the shapefile for visualization.





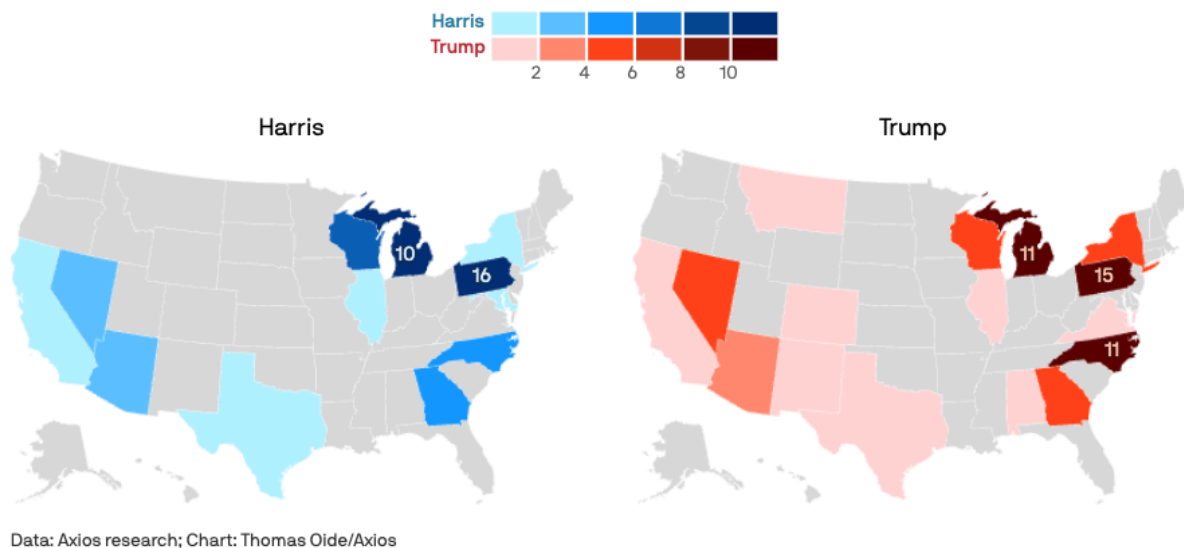
The resulting maps reveal that prediction market trading volume does not simply follow population size or economic scale. Even though we see a higher number of total markets in California, Florida, and Texas, the total trading volume is highest in states that played a decisive role in the 2024 presidential election: Arizona, Pennsylvania, Georgia, and Wisconsin.

This suggests that prediction market participants are fundamentally motivated by uncertainty. In economic terms, the marginal value of information is highest in places where the outcome is least predictable. When an election outcome is already widely expected, there is little incentive for traders to enter markets because price movements are unlikely to be large. In contrast, competitive races generate continuous updates to expectations as new polling data, campaign developments, and political events unfold. These updates create opportunities for traders to profit from new information, increasing participation and liquidity.

This pattern may also reflect an important difference between the perspective of market participants and that of the average voter. While individuals may pay the most attention to political outcomes in their own state, traders are instead incentivized to focus on races where the outcome is most uncertain and where new information can meaningfully shift probabilities. As a result, trading activity is less tied to local interest and more closely aligned with the importance of specific contests.

Campaign visits from Harris and Trump

Aug. 5 to Nov. 4, 2024



Credit: <https://www.axios.com/2024/10/26/trump-harris-campaign-schedules-swing-states>

The geographic concentration of trading volume can also serve as strategic signals. The geographic distribution of trading volume is strikingly close to the focus of the 2024 presidential campaigns. States attracting the highest trading activity are often the same states where candidates concentrated campaign visits and advertising spending. This also suggests that prediction market activity could provide campaigns with an additional signal of where electoral competition is most intense and where campaign resources may be most effectively deployed.

Future of Markets

The 2024 election cycle provided a breakout moment for prediction markets, but the future trajectory of political markets remains hazy. In the years since the CFTC ruling, Kalshi has rapidly expanded into new categories, particularly sports markets. By the end of 2025, sports betting accounted for roughly 90 percent of total trading volume on the platform (<https://www.spotico.com/business/sports-betting/2025/kalshi-nfl-football-trade-bet-volume-1234872696/>). At the same time, the rapid growth of event contracts has also raised concerns. The potential for insider information and market manipulation can make these markets volatile, and the process for resolving certain contracts has occasionally been controversial (<https://www.reuters.com/world/middle-east/kalshi-sued-over-ouster-iran-leader-prediction-market-2026-03-06/>).

Despite these challenges, prediction markets are becoming increasingly visible in political discourse. Many news organizations have begun incorporating market probabilities into their election coverage, and competitive races, international events, and major policy outcomes continue to attract meaningful trading volume. Research also suggests that prediction markets can outperform traditional polling in forecasting election outcomes, particularly in high-liquidity markets (<https://arxiv.org/abs/2507.08921>). Although the mechanisms behind these markets are imperfect, the signals produced by highly traded contracts are often informative and accurate.

As U.S. congressional races intensify during the 2026 election cycle, trading activity will likely concentrate in the most competitive states regardless of their population or economic size. More broadly, the rapid growth of political prediction markets suggests that they may become an increasingly important component of the political information ecosystem. While they may not replace polling or expert analysis, prediction markets offer a complementary way of measuring expectations, revealing where uncertainty, attention, and capital are most strongly concentrated.